

HOME AFRIKA LIMITED

ANNUAL REPORT AND CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2015

CONTENTS

	PAGE
Company information	1 - 2
Report of the directors	3
Statement of directors' responsibilities	4
Report of the independent auditor	5 - 6
Financial statements:	
Consolidated statement of profit or loss and other comprehensive income	7
Consolidated statement of financial position	8
Company statement of financial position	9
Consolidated statement of changes in equity	10
Consolidated statement of cash flows	11
Notes: significant accounting policies	12 - 22
Notes	23 - 43

The following pages do not form an integral part of these financial statements

Company statement of profit or loss and other comprehensive income	44
Schedule of expenditure	45

COMPANY INFORMATION

BOARD OF DIRECTORS :

- : Lee Gituto Karuri
- : Dan Ochieng Awendo
- : Mbugua Gecaga
- : Ketan Shah
- : Linus Gitahi (Appointed 26 April 2016)
- : Peter Nduati (Appointed 26 April 2016)
- : Rachel Mbai (Appointed 26 April 2016)
- : Geoffrey Mbugua Kamau (Retired 31 March 2016)
- : Lucy Wanjiku Maina (Retired 31 March 2016)
- : Benjamin Mbira Gikonyo (Retired 31 March 2016)
- : Nyaga Boore Kithinji (Retired 31 March 2016)
- : Jane Wambui Adam (Retired 31 March 2016)
- : Doris Murimi (Retired 31 March 2016)
- : Paul Nguru (Retired 31 March 2016)

PRINCIPAL PLACE OF BUSINESS :

- : Morningside Office Park
- : Ngong Road
- : P.O. Box 6254, 00100
- : NAIROBI

INDEPENDENT AUDITOR :

- : PKF Kenya
- : Certified Public Accountants
- : P.O. Box 14077, 00800
- : NAIROBI

COMPANY SECRETARY :

- : Violet Kimotho
- : Azali Certified Public Secretaries LLP
- : P.O. Box 6219, 00200
- : NAIROBI

PRINCIPAL BANKERS :

- : Kenya Commercial Bank Limited
- : NAIROBI
- : I&M Bank Limited
- : NAIROBI
- : Cooperative Bank (Kenya) Limited
- : NAIROBI
- : Eco Bank Kenya Limited
- : NAIROBI

LEGAL ADVISORS :

- : Muriu Mungai & Company Advocates
- : NAIROBI
- : Wainaina Ireri & Co. Advocates
- : NAIROBI
- : Robson Harris & Company Advocates
- : NAIROBI

COMPANY INFORMATION

SUBSIDIARIES	:	Home Afrika Communities Limited
	:	NAIROBI
	:	
	:	Mitini Scapes Development Limited
	:	NAIROBI
	:	
	:	Migaa Management Limited
	:	NAIROBI
	:	
	:	Lake View Heights Development Limited
	:	NAIROBI
	:	
	:	Llango Development Limited
	:	NAIROBI

:	Kikwetu Development Limited
:	NAIROBI

:	Kivuli Golf Limited
:	NAIROBI

:	Suburban Limited
:	NAIROBI

REPORT OF THE DIRECTORS

The directors submit their report and the audited consolidated financial statements for the year ended 31 December 2015, which disclose the state of affairs of the group.

PRINCIPAL ACTIVITY

The principal activity of the group is that of real estate development in housing and commercial properties.

RESULTS	Group		Company	
	2015 Shs	2014 Shs	2015 Shs	2014 Shs
(Loss)/profit before tax	(410,799,371)	47,774,671	(116,720,061)	(58,905,804)
Tax credit/(charge)	20,708,035	(38,818,642)	(840,534)	74,456
(Loss)/profit for the year	<u>(390,091,336)</u>	<u>8,956,029</u>	<u>(117,560,595)</u>	<u>(58,831,348)</u>

DIVIDEND

The directors do not recommend the declaration of a dividend for the year (2014: Nil).

DIRECTORS

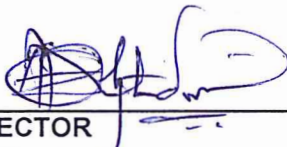
The directors who held office during the year and to the date of this report are shown on page 1.

In accordance with the company's Articles of Association, a minimum of three and maximum of five directors will retire every 2 years by rotation.

INDEPENDENT AUDITOR

The company's auditor, PKF Kenya, has indicated willingness to continue in office in accordance with Section 159(2) of the Companies Act (Cap. 486).

BY ORDER OF THE BOARD



DIRECTOR
NAIROBI

5TH MAY 2016

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Kenyan Companies Act (Cap 486) requires the directors to prepare consolidated financial statements for each financial year which give a true and fair view of the state of affairs of the company and its subsidiaries (the 'group') as at the end of the financial year and of the group's profit or loss for that year. It also requires the directors to ensure that the group maintains proper accounting records that disclose, with reasonable accuracy, the financial position of the group. The directors are also responsible for safeguarding the assets of the group.

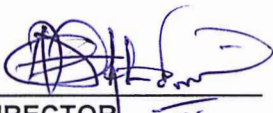
The directors accept responsibility for the preparation and fair presentation of consolidated financial statements that are free from material misstatement whether due to fraud or error. They also accept responsibility for:

- i. Designing, implementing and maintaining such internal control as they determine is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error;
- ii. Selecting and applying appropriate accounting policies; and
- iii. Making accounting estimates and judgements that are reasonable in the circumstances.

The Directors are of the opinion that the consolidated financial statements give a true and fair view of the financial position of the group as at 31 December 2015 and of the financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act (Cap 486).

Based on the disclosures set out in Note 1(a) to the financial statements, the directors are of the opinion that the group will remain a going concern for at least the next twelve months from the date of this statement.

Approved by the board of directors on 5TH MAY 2016 signed on its behalf by:



DIRECTOR



DIRECTOR

REPORT OF THE INDEPENDENT AUDITOR TO THE MEMBERS OF HOME AFRIKA LIMITED

Report on the financial statements

We have audited the accompanying consolidated financial statements of Home Afrika Limited (the "company") and its subsidiaries (collectively referred to as the "group"), set out on pages 7 to 43 which comprise the consolidated and company statements of financial position as at 31 December 2015 and the consolidated statement of profit or loss and other comprehensive income, consolidated statement of changes in equity and the consolidated statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

Director's responsibility for the consolidated financial statements

The directors are responsible for the preparation of financial statements that give a true and fair view in accordance with International Financial Reporting Standards and the Kenyan Companies Act (Cap 486), and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's responsibility

Our responsibility is to express an independent opinion on these consolidated financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. The procedures selected depend on the auditor's judgement, including the assessment of the risk of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the consolidated financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements give a true and fair view of the consolidated and company financial position of Home Afrika Limited as at 31 December 2015, and of the consolidated financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Companies Act (Cap. 486).

**REPORT OF THE INDEPENDENT AUDITOR
TO THE MEMBERS OF HOME AFRIKA LIMITED (CONTINUED)****Emphasis of matter - preparation of financial statements on a going concern basis**

Without qualifying our opinion, we draw attention to Note 1(a) to the financial statements which indicates that the group recognised a loss of Shs. 390 million for the year ended 31 December 2015 and as of that date, there was a net current liability position of Shs. 70 million, a deficiency in shareholders' funds of Shs. 42 million and had significant short term cash flow requirements. Whilst these conditions indicate the existence of a material uncertainty which may cast doubt about the group's ability to continue as a going concern, the financial statements have been prepared on a going concern basis based on the factors described in Note 1(a).

Report on other legal requirements

As required by the Companies Act (Cap. 486) we report to you, based on our audit, that:

- (i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
- (ii) in our opinion proper books of account have been kept by the group, so far as appears from our examination of those books; and
- (iii) the company and group's consolidated statement of financial position and the group's statement of profit and loss and other comprehensive income are in agreement with the books of account.


Certified Public Accountants

NAIROBI

05-May-2016

The engagement partner responsible for the audit resulting in this independent auditor's report is
CPA Chaudhry Mohamed Asif - P/No. 2059.

416/16

CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

	Notes	2015 Shs	2014 Shs
Revenue	3	259,773,044	687,300,740
Cost of sales		<u>(233,493,419)</u>	<u>(447,026,877)</u>
Gross profit		26,279,625	240,273,863
Fair value gain on investment property	17	26,615,782	109,029,279
Other operating income	4	18,930,997	5,849,071
Selling and distribution expenses		(30,562,039)	(53,983,001)
Administrative expenses		(290,762,396)	(213,113,280)
Other operating expenses		<u>(28,581,915)</u>	<u>(27,704,325)</u>
Operating (loss)/profit	5	(278,079,946)	60,351,607
Finance costs	7	<u>(132,719,425)</u>	<u>(12,576,936)</u>
Profit before tax		(410,799,371)	47,774,671
Tax credit/(charge)	8	<u>20,708,035</u>	<u>(38,818,642)</u>
(Loss)/profit for the year		<u><u>(390,091,336)</u></u>	<u><u>8,956,029</u></u>
Total comprehensive (loss)/income for the year		<u><u>(390,091,336)</u></u>	<u><u>8,956,029</u></u>
(Loss)/profit attributable to:			
- Owners of the parent		(367,646,022)	(17,876,737)
- Non-controlling interest		<u>(22,445,314)</u>	<u>26,832,766</u>
		<u><u>(390,091,336)</u></u>	<u><u>8,956,029</u></u>
(Loss) per share			
- basic and diluted	9	<u><u>(0.91)</u></u>	<u><u>(0.04)</u></u>

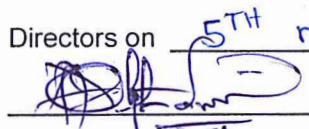
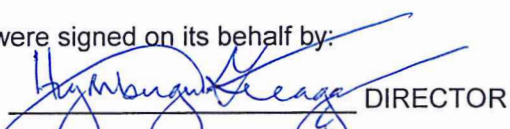
The notes on pages 12 to 43 form an integral part of these financial statements.

Report of the independent auditor - pages 5 and 6.

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

		As at 31 December	
	Notes	2015 Shs	2014 Shs
EQUITY			
Share capital	10	405,255,320	405,255,320
Share premium	11	68,842,038	68,842,038
Accumulated deficit		(552,816,344)	(185,170,322)
Equity attributed to owners of the company		(78,718,986)	288,927,036
Non-controlling interest		37,010,119	59,455,433
Total equity		(41,708,867)	348,382,469
Non-current liabilities			
Deposit for shares	12	153,786,882	221,932,298
Borrowings	13	12,060,267	214,548,863
Private placement bond	14	482,653,859	278,597,346
Deferred tax	15	124,919,085	149,579,632
		773,420,093	864,658,139
		731,711,226	1,213,040,608
REPRESENTED BY			
Non-current assets			
Property and equipment	16	68,647,673	55,496,443
Investment property	17	730,601,603	691,456,981
Intangible assets	18	2,164,411	3,692,385
Financial assets	20	2,000	2,000
		801,415,687	750,647,809
Current assets			
Inventories	21	2,910,285,575	2,481,657,003
Trade and other receivables	22	84,141,274	177,463,299
Cash and cash equivalents	23	66,473,170	308,867,974
		3,060,900,019	2,967,988,276
Current liabilities			
Deferred income	24	871,659,513	711,474,619
Trade and other payables	25	596,763,412	433,487,029
Deposits from sale of plots	25	883,597,915	985,819,956
Borrowings	13	704,853,776	370,113,960
Deposit for shares	12	67,671,665	-
Current tax		6,058,199	4,699,913
		3,130,604,480	2,505,595,477
Net current (liabilities)/assets		(69,704,461)	462,392,799
		731,711,226	1,213,040,608

The financial statements on pages 7 to 43 were approved and authorised for issue by the Board of

Directors on 5TH MAY 2016 and were signed on its behalf by:
 DIRECTOR
 DIRECTOR

The notes on pages 12 to 43 form an integral part of these financial statements.

Report of the independent auditor - pages 5 and 6.

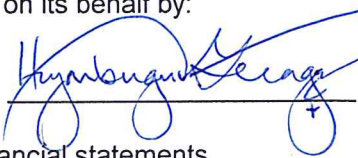
COMPANY STATEMENT OF FINANCIAL POSITION

		As at 31 December	
	Notes	2015 Shs	2014 Shs
EQUITY			
Share capital	10	405,255,320	405,255,320
Share premium	11	68,842,038	68,842,038
Accumulated deficit		(196,908,652)	(79,348,057)
		<u>277,188,706</u>	<u>394,749,301</u>
Non-current liabilities			
Borrowings	13	12,060,267	20,799,810
Private placement bond	14	482,653,859	278,597,346
		<u>494,714,126</u>	<u>299,397,156</u>
		<u>771,902,832</u>	<u>694,146,457</u>
REPRESENTED BY			
Non-current assets			
Property and equipment	16	64,520,907	63,137,029
Investment property	17	55,000,000	55,000,000
Intangible assets	18	2,164,411	3,533,815
Investment in subsidiaries	19	76,986,247	76,986,247
Financial assets	20	2,000	2,000
Trade and other receivables	22	542,400,000	267,900,000
Deferred tax	15	530,565	124,033
		<u>741,604,130</u>	<u>466,683,124</u>
Current assets			
Inventories	21	133,000,000	136,000,000
Trade and other receivables	22	226,509,293	144,373,285
Cash and cash equivalents	23	30,143,710	298,112,829
		<u>389,653,003</u>	<u>578,486,114</u>
Current liabilities			
Trade and other payables	25	343,748,928	337,060,463
Deposits from sale of plots	25	7,494,940	6,730,000
Borrowings	13	6,863,367	7,232,318
Current tax		1,247,066	-
		<u>359,354,301</u>	<u>351,022,781</u>
Net current assets		<u>30,298,702</u>	<u>227,463,333</u>
		<u>771,902,832</u>	<u>694,146,457</u>

The financial statements on pages 7 to 43 were approved and authorised for issue by the Board of

Directors on 5TH MAY 2016 and were signed on its behalf by:

 DIRECTOR

 DIRECTOR

The notes on pages 12 to 43 form an integral part of these financial statements.

Report of the independent auditor - pages 5 and 6.

Home Afrika Limited
Annual report and consolidated financial statements
For the year ended 31 December 2015

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Ordinary Share capital Shs	Share premium Shs	Retained earnings Shs	Total Shs	Non controlling interests Shs	Total equity Shs
Year ended 31 December 2014						
At start of year	405,255,320	68,842,038	(167,293,585)	306,803,773	32,622,667	339,426,440
Total comprehensive (loss)/income for the year	-	-	(17,876,737)	(17,876,737)	26,832,766	8,956,029
At end of year	<u>405,255,320</u>	<u>68,842,038</u>	<u>(185,170,322)</u>	<u>288,927,036</u>	<u>59,455,433</u>	<u>348,382,469</u>
Year ended 31 December 2015						
At start of year	405,255,320	68,842,038	(185,170,322)	288,927,036	59,455,433	348,382,469
Total comprehensive (loss) for the year	-	-	(367,646,022)	(367,646,022)	(22,445,314)	(390,091,336)
At end of year	<u>405,255,320</u>	<u>68,842,038</u>	<u>(552,816,344)</u>	<u>(78,718,986)</u>	<u>37,010,119</u>	<u>(41,708,867)</u>

The notes on pages 12 to 43 form an integral part of these financial statements.

Report of the independent auditor - pages 5 and 6.

CONSOLIDATED STATEMENT OF CASH FLOWS

	Notes	2015 Shs	2014 Shs
Operating activities			
Cash (used in) operations	26	(416,095,806)	(245,951,086)
Interest paid		(132,719,425)	(12,576,936)
Tax paid		(2,594,227)	(11,262,548)
Net cash (used in) operating activities		(551,409,458)	(269,790,570)
Investing activities			
Cash paid for purchase of property and equipment	16	(21,438,345)	(2,751,950)
Additions to investment property	17	(12,528,840)	(8,977,452)
Cash paid for purchase of intangible assets	18	(596,123)	(1,159,997)
Proceeds from disposal of property and equipment		1,190,000	51,500
Interest received		6,553,979	1,477,895
Net cash (used in) investing activities		(26,819,329)	(11,360,004)
Financing activities			
Proceeds from:			
- private placement bond		204,056,513	278,597,346
- borrowings		173,077,489	462,950,371
- deposits for shares		1,506,250	37,890,597
Repayment:			
- borrowings		(59,933,039)	(134,335,379)
- finance lease		(2,875,333)	(3,477,150)
- deposits for shares		(1,980,000)	-
- preference share capital		-	(75,000,000)
Net cash from financing activities		313,851,880	566,625,785
(Decrease)/increase in cash and cash equivalents		(264,376,907)	285,475,211
Movements in cash and cash equivalents			
At start of year		308,867,974	23,392,763
(Decrease)/increase		(264,376,907)	285,475,211
At end of year	23	44,491,067	308,867,974

The notes on pages 12 to 43 form an integral part of these financial statements.

Report of the independent auditor - pages 4 to 5.

NOTES

1. SIGNIFICANT ACCOUNTING POLICIES

The principal accounting policies adopted in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

a) Basis of preparation

The consolidated financial statements have been prepared under the historical cost convention, except as indicated otherwise below and are in accordance with International Financial Reporting Standards (IFRS). The historical cost convention is generally based on the fair value of the consideration given in exchange of assets. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date, regardless of whether that price is directly observable or estimated using another valuation technique. In estimating the fair value of an asset or liability, the group takes into account the characteristics of the asset or liability if market participants would take those characteristics into when pricing the asset or liability at the measurement date. Fair value for measurement and/or disclosure purposes in these consolidated financial statements is determined on such a basis, except for measurements that have some similarities to fair value but are not fair value, such as net realisable value in IAS 2 or value in use in IAS 36.

In addition, for financial reporting purposes, fair value measurements are categorised into level 1, 2 or 3 based on the degree to which the inputs to the fair value measurements are observable and the significance of the inputs to the fair value measurement in its entirety, which are described as follows:

- Level 1 inputs are quoted prices (unadjusted) in active markets for identical assets or liabilities that the entity can access at the measurement date;
- Level 2 inputs are inputs, other than quoted prices included within Level 1, that are observable for the asset or liability, either directly or indirectly; and
- Level 3 inputs are unobservable inputs for the asset or liability.

Going concern

The financial performance of the group is set out in the Director's report and in the statement of profit or loss and the other comprehensive income. The financial position of the group is set out in the statement of financial position. Disclosures in respect of risk management, capital management and contingent liabilities are set out in note 28, 29 and 30 to the financial statements.

During the year ended 31 December 2015, the group recognised a net loss of Shs. 390 million compared to a profit of Shs. 9 million in 2014. The statement of financial position of the group indicates a net current liability position of Shs. 70 million compared to a net current asset position of Shs. 462 million in 2014. The statement of financial position also indicates a deficiency in shareholders' funds of Shs. 42 million.

The group was successful at raising funds amounting to Shs. 500 million before transaction costs through a private placement at the start of 2015/late 2014. During the current year, the group has invested these funds to further the progress at each of its projects. The year has also seen significant rationalisation of the management structure of the group which has also led to a revised overall long term strategic planning process. The group has consolidated its projects into the 3 main ones being Migaa, Lakeview and Lango. Mitini Scapes at Migaa has reached completion and is awaiting only final clearances before sales are recognised.

The group as part of the above rationalisation has also signed a significant joint venture agreement in respect of its Migaa project with a globally recognised sporting and recreational facilities company which will undertake the final development of these facilities at the project. This in turn is expected to significantly enhance the sales potential of the remaining land and facilities at the project.

NOTES (CONTINUED)

1. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

a) Basis of preparation (continued)

Going concern (continued)

Whilst the company has to date not defaulted on key project milestones, significant development effort and financing is necessary at each of the 3 projects mentioned above over the course of the next 12 - 24 months to achieve overall delivery deadlines. In addition, a substantial part of the group's borrowings fall due for repayment within the next 12 months as reported under Note 13. Total current borrowings amount to Shs. 704 million excluding finance costs on other long term borrowings.

The group has substantial access to real estate inventory at each of its three projects, which if realised, would provide cash inflows significantly in excess of the cash outflow needs above. However, the achievement of such sales are dependent on a number of factors such as the overall economic environment which are not in control of the management of the company. Therefore, this represents a material uncertainty which may in the short term cast doubt about the entities ability to meet its cash flow needs and continue as a going concern.

The directors are however confident that the redeveloped strategy and new governance team will deliver positively and will unlock the substantial sales and cash flow potential of the companies projects. Significant marketing efforts are underway and the initial indications are very positive. In addition, the company remains compliant with all of its borrowing terms and conditions and in the short term is able to access its real estate inventory as collateral to release additional borrowed funds to meet its obligations as they fall due over the next 12 months from the date of approval of these financial statements.

Based on the factors above and the group's risk management policies, the directors are of the opinion that the group remains well placed to continue in business for the foreseeable future and as a result the financial statements are prepared on a going concern basis.

New and amended standards adopted by the group

A number of new and revised Standards and Interpretations have been adopted in the current year. Their adoption has had no material impact on the amounts reported in these financial statements.

New standards, amendments and interpretations issued but not effective

At the date of authorisation of these financial statements the following Standards and Interpretations which have not been applied in these financial statements were in issue but not yet effective for the year presented:

- Amendments issued in December 2014 to IAS 1 'Presentation of Financial Statements' which will be effective for annual accounting periods beginning on or after 1 January 2016 clarify guidance on materiality and aggregation, the presentation of subtotals, the structure of financial statements and the disclosure of accounting policies.
- Amendments issued in June 2014 to IAS 16 'Property, Plant and Equipment' and IAS 41 'Agriculture' which will be effective for annual periods beginning on or after 1 January 2016 define bearer plants and include them within IAS 16's scope while the produce growing on bearer plants remain within the scope of IAS 41.
- Amendments issued in May 2014 to IAS 16 and IAS 38 'Intangible Assets' which will be effective for annual periods beginning on or after 1 January 2016 add guidance and clarify that the use of revenue-based methods to calculate the depreciation of an asset is not appropriate; however, this presumption can be rebutted in certain limited circumstances.

NOTES (CONTINUED)

1. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

a) Basis of preparation (continued)

New standards, amendments and interpretations issued but not effective (continued)

- Amendment (Annual improvements to IFRSs 2012- 2014 Cycle, issued in September 2014) to IAS 19 'Employee Benefits' which will be effective for annual periods beginning on after 1 January 2016, clarifies that the high quality corporate bonds used in estimating the discount rate for post-employment benefits should be denominated in the same currency as the benefits to be paid.
- Amendments issued in August 2014 to IAS 27 'Separate Financial Statements' which will be effective for annual periods beginning on or after 1 January 2016 reinstate the equity method option to account for investments in subsidiaries, joint venture and associates in separate financial statements.
- Amendment (Annual Improvements to IFRSs 2012-2014 Cycle, issued in September 2014) to IFRS 5 'Non-current Assets Held for Sale and Discontinued Operations' which will be effective for annual periods beginning on or after 1 January 2016 adds specific guidance when an entity reclassifies an asset (or group) from held for sale to held for distribution to owners, or vice versa, and for cases where held-for-distribution accounting is discontinued.
- Amendment (Annual Improvements to IFRSs 2012-2014 Cycle, issued in September 2014) to IFRS 7 'Financial Instruments: Disclosures' which will be effective for annual periods beginning on or after 1 January 2016, adds guidance to clarify whether a servicing contract is continuing involvement in a transferred asset.
- IFRS 9 'Financial Instruments'(Issued in July 2014) will replace IAS 39 and will be effective for annual periods beginning on or after 1 January 2018.It contains requirements for the classification and measurement of financial assets and financial liabilities, impairment, hedge accounting and de-recognition.

IFRS 9 requires all recognised financial assets to be subsequently measured at amortised cost or fair value (through profit or loss or through comprehensive income), depending on their classification by reference to the business model within which they are held and their contractual cash flow characteristics.

In respect of financial liabilities, the most significant effect of IFRS 9 where the fair value option is taken will be in respect of the amount of change in fair value of a financial liability designated as at fair value through profit or loss that is attributable to changes in the credit risk of that liability is recognised in other comprehensive income (rather than in profit or loss), unless this creates an accounting mismatch.

In respect of impairment of financial assets, IFRS 9 introduces an "expected credit loss" model based on the concept of providing for expected losses at inception of a contract.

In respect of hedge accounting, IFRS 9 introduces a substantial overhaul allowing financial statements to better reflect how risk management activities are undertaken when hedging financial and non-financial risks.

- Amendments issued in September 2014 to IFRS 10 'Consolidated Financial Statements' and IAS 28 'Investments in Associated and Joint Ventures' which will be effective for annual periods beginning on or after 1 January 2016 address a current conflict between the two standards and clarify that gain or loss should be recognised fully when the transaction involves a business, and partially if it involves assets that do not constitute a business.

NOTES (CONTINUED)

1. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

a) Basis of preparation (continued)

New standards, amendments and interpretations issued but not effective (continued)

- Amendments issued in December 2014 to IFRS 10, IFRS 12 'Disclosure of Interests on Other Entities' and IAS 28 which will be effective for annual periods beginning on or after 1 January 2016, clarify guidance the application of the consolidation exception for investment entities and their subsidiaries.
- Amendments issued in May 2014 to IFRS 11 'Joint Arrangements' which will be effective for annual periods beginning on or after 1 January 2016, require an acquirer of an interest in a joint operation in which the activity constitutes a business (as defined in IFRS 3 'Business Combinations') to apply all of the business combinations accounting principles and disclosures in IFRS 3 and other IFRSs, except for those principles that conflict with guidance in IFRS 11.
- IFRS 14 'Regulatory Deferral Accounts' (issued in January 2014) which will be effective for annual periods beginning on or after 1 January 2016 defines a regulatory deferral account balance and allows entities continue apply their existing policy for regulatory deferral account balances, but requires certain disclosures.
- IFRS 15 'Revenue from Contracts with Customers' (issued in May 2014) effective for annual periods beginning on or after 1 January 2018, replaces IAS 11 'Construction Contracts', IAS 18 'Revenue' and their interpretations (SIC-31 and IFRIC 13, 15 and 18). It establishes a single and comprehensive framework for revenue recognition based on a five-step model to be applied to all contracts with customers, enhanced disclosures, and new or improved guidance.
- IFRS 16 'Leases' (issued in January 2016) effective for annual periods beginning on or after 1 January 2019, replaces IAS 17 'Leases', IFRIC 4 'Determining whether an Arrangement Contains a Lease' and their interpretations (SIC-15 and SIC-27). IFRS 16 establishes principles for the recognition, measurement, presentation and disclosure of leases, with the objective of ensuring that lessees and lessors provide relevant information that faithfully represents those transactions.

The directors expect that the future adoption of IFRS 9, IFRS 15 and IFRS 16 may have a material impact on the amounts reported. However, it is not practicable to provide a reliable estimate of the effects of the above until a detailed review has been completed. The directors do not expect that adoption of the other Standards and Interpretations will have a material impact on the financial statements in future periods. The group plans to apply the changes above from their effective dates noted above.

b) Key sources of estimation uncertainty

In the application of the accounting policies, the directors are required to make judgments, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other relevant factors. Such estimates and assumptions are reviewed on an ongoing basis. Revisions to estimates are recognised prospectively

The directors have made the following assumptions that have a significant risk of resulting in a material adjustment to the carrying amounts of assets and liabilities within the next financial year.

- **Investment property** - The company holds land that is for designated development and sale and land that is as of the balance sheet date not designated for any specific future use. Under the requirement of IAS 40 on Investment Property, land that is held without any designated future use is classified as Investment Property and measured at fair value in accordance with the accounting policy set-out below.

1. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

b) Key sources of estimation uncertainty (continued)

- **Impairment of trade receivables** - the company reviews their portfolio of trade receivables on an annual basis. In determining whether receivables are impaired, the management makes judgement as to whether there is any evidence indicating that there is a measurable decrease in the estimated future cash flows expected.
- **Useful lives of property, plant and equipment** - Management reviews the useful lives and residual values of the items of property, plant and equipment on a regular basis. During the financial year, the directors determined no significant changes in the useful lives and residual values.
- **Fair value measurement and valuation process** - In estimating the fair value of an asset or a liability, the group uses market-observable data to the extent it is available. Where level 1 inputs are not available, the group makes use of financial models or engages third party qualified values to perform the valuation and provide inputs to the model issue.

c) Significant judgements made by management in applying the company's accounting policies

Directors have made the following judgements that are considered to have the most significant effect on the amounts recognised in the financial statements:

- **Revenue recognition** - Revenue in respect of the sale of property is recognised at a value representing the fair value of the land as at the date of the transaction with the remainder of the sales proceeds being recognised as the common infrastructure gets developed using the percentage of completion method based on an estimate of total project costs determined by an independent professional quantity surveyor.
- **Fair value of investment property** - Fair value gains and losses on investment property are based on professional valuations performed by an independent valuer of the land assuming project completion has taken place. To reflect the current value of such land given actual project development status, a discount reflecting the percentage of completion is applied to such fair values. The percentage of completion used is consistent as described under revenue recognition above
- **Control of subsidiaries, associates and joint ventures** - The directors assess whether or not the group has control over any entity based on whether or not the group has the practical ability to direct the relevant activities of the entity unilaterally. In making their judgement, the directors considered the group's absolute size of holding in the entity and the relative size of dispersion of the shareholdings owned by the other shareholders.

d) Revenue recognition

Revenue comprises the fair value of the consideration received or receivable for the sale of property and provision of services in the ordinary course of business and is stated net of rebates and discounts.

The company recognises revenue when the amount of revenue can be reliably measured, it is probable that future economic benefits will flow to the entity and when the specific criteria have been met for each of the company's activities as described below. The amount of revenue is not considered to be reliably measured until all contingencies relating to the sale have been resolved.

NOTES (CONTINUED)

1. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

d) Revenue recognition (continued)

The company evaluates each transaction to determine whether there are any separately identified components. Revenue is recognised as follows:

- i) Revenue from sale of land is recognised when the transaction with the buyer is substantially complete which coincides with the transfer to the buyer of the significant risks and rewards of ownership and the entity retaining neither continuing managerial involvement to the degree usually associated with ownership nor effective control over the land. Remaining revenue relating to infrastructure construction is recognised using the percentage of completion method.
- ii) Interest income is accrued by reference to time in relation to the principal outstanding and the effective interest rate applicable.
- iii) Dividend income is recognised when the shareholders right to receive payment has been established
- iv) Rental income is accrued by reference to time on a straight line basis over the lease term

e) Investment in subsidiaries/consolidation

Subsidiaries are all entities (including special purpose entities) over which the group has the power to govern the financial and operating policies. Control is achieved when the company; has power over the trustee; is exposed or has right to variable returns from its involvement with the investee and has the ability to use its power to affect its returns.

The group also assesses the existence of control where it does not have a majority of the voting rights power but is able to govern the financial and operating policies of a subsidiary. Control may arise in certain circumstances where including the size of the group's voting rights relative to the size and dispersion of holdings of other shareholders give the group the power to govern the financial and operating policies, where potential voting rights are held by the company and rights from other contractual arrangements etc.

When the company has assessed and has less than a majority of the voting rights of an investee, it has power over the investee when the voting rights are sufficient to give it the practical ability to direct the relevant activities of the investee unilaterally

The company reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of controls listed above.

Consolidation of a subsidiary begins when the company obtains control over the subsidiary and ceases when the company loses control of the subsidiary. Specifically, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated statement of profit and loss and other comprehensive income from the date the company gains control until the date the company ceases to control the subsidiary.

Intra-group balances, income and expenses on transactions between group companies are eliminated. Profits and losses resulting from inter-company transactions that are recognised in assets are also eliminated. Accounting policies of subsidiaries have been changed where necessary adjustments are made to financial statements of subsidiary to bring their accounting policies into line with the groups accounting policy.

f) Property and equipment

All property and equipment is initially recorded at cost and thereafter stated at historical cost less depreciation. Historical cost comprises expenditure initially incurred to bring the asset to its location and condition ready for its intended use.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the company and the cost can be reliably measured. The carrying amount of the replaced part is derecognised. All other repairs and maintenance are charged to profit or loss during the financial year in which they are incurred.

NOTES (CONTINUED)

1. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

f) Property and equipment (continued)

Depreciation on assets is calculated on the reducing balance basis method to write down the cost of each asset, or the revalued amount, to its residual value over its estimated useful life using the following annual rates:

	Rate %
Buildings	2.50 (straight line)
Motor vehicles	25.00
Tractor	37.50
Furniture and fittings	30.00
Office equipment	12.50
Computer equipment	12.50

The assets residual values and useful lives are reviewed, and adjusted if appropriate, at the end of each reporting period.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

Gains and losses on disposal of property, plant and equipment are determined by comparing the proceeds with the carrying amount and are taken into account in determining operating profit/loss.

g) Investment property

Investment property is long-term investments in land that are not occupied substantially for own use. Land held with an undetermined future use is also classified as investment property. Investment property is initially recognised at cost and subsequently carried at fair value representing open market value at the reporting date. Changes in fair value are recorded in profit or loss based on the percentage of completion as described in note (c) on critical assumption.

Subsequent expenditure on investment property where such expenditure increases the future economic value in excess of the original assessed standard of performance is added to the carrying amount of the investment property. All other expenditure is recognised as an expense in the year which it is incurred.

Gains and losses on disposal of investment property is determined by reference to their carrying amount and are taken into account in determining operating profit/(loss).

h) Intangible assets

Intangible assets with finite useful lives that are acquired separately are carried at cost less accumulated amortisation and accumulated impairment losses. Amortisation is recognised on a straight-line basis over their estimated useful lives. The estimated useful life and amortisation method are reviewed at the end of each reporting period, with the effect of any changes in estimate being accounted for on a prospective basis. Intangible assets with indefinite useful lives that are acquired separately are carried at cost less accumulated impairment losses.

Computer software

Computer software licences are capitalised on the basis of the costs incurred to acquire and bring to use the specific software. These costs are amortised over their estimated useful lives which are estimated to be 3 years.

Costs associated with developing or maintaining computer software programmes are recognised as an expense as incurred. Costs that are directly associated with the production of identifiable and unique software products controlled by the company, and that will probably generate economic benefits exceeding costs beyond one year, are recognised as intangible assets.

NOTES (CONTINUED)

1. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

i) Financial instruments

Financial assets and financial liabilities are recognised when the group becomes a party to the contractual provisions of the instrument. Management determines all classification of financial assets at initial recognition.

- Financial assets

Financial assets are initially recognised at fair value plus transaction costs for all financial assets not carried at fair value through profit or loss.

The company's financial assets fall into the following categories:

- **Available-for-sale:** financial assets that are held for an indefinite period of time, which may be sold in response to needs for liquidity or changes in interest rate. Such assets are classified as non-current assets except where the management intends to dispose the assets within 12 months of the reporting date. Subsequent to initial recognition, they are carried at fair value with gains or losses are recognised in other comprehensive income, net of deferred tax.

Interest on available-for-sale securities is calculated using the effective interest method and is recognised in profit or loss as part of other income. Dividends on available-for-sale equity instruments are also recognised in profit or loss as part of other income when the group's right to receive payments is established.

- **Loans and receivables:** financial assets with fixed or determinable payments that are not quoted in an active market. Such assets are classified as current assets where maturities are within 12 months of the reporting date. All assets with maturities greater than 12 months after the reporting date are classified as non-current assets. Subsequent to initial recognition, they are carried at amortised cost using the effective interest method. Changes in the carrying amount are recognised in profit or loss.

Purchases and sales of financial assets are recognised on the trade date i.e. the date on which the company commits to purchase or sell the asset.

Financial assets are derecognised when the rights to receive cash flows from the assets have expired or have been transferred and the company has transferred substantially all risks and rewards of ownership.

A financial asset is impaired if its carrying amount is greater than its estimated recoverable amount. Impairment of financial assets is recognised in the statement of comprehensive income under administrative expenses when there is objective evidence that the company will not be able to collect all amounts due per the original terms of the contract. Significant financial difficulties of the issuer, probability that the issuer will enter bankruptcy or financial reorganisation, default in payments and a prolonged decline in fair value of the asset are considered indicators that the asset is impaired.

The amount of the impairment loss is calculated as the difference between the assets carrying amount and the present values of expected future cash flows, discounted at the financial instrument's effective interest rate.

Subsequent recoveries of amounts previously written off/impaired are credited to profit or loss/ other comprehensive income in the year in which they occur.

Unquoted investments are classified as 'available-for-sale' financial instruments. Where fair values cannot be reliably measured these investments are carried at cost less provision for impairment.

NOTES (CONTINUED)

1. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

i) Financial instruments (continued)

- Financial assets (continued)

Cash in hand and balances with financial institutions, trade and other receivables and tax recoverable and are classified as loans and receivables and are carried at amortised cost.

Management classify the fair values of financial assets based on the qualitative characteristics of the fair valuation as at the financial year end. The three hierarchy levels used by management are:

- **Level 1:** where fair values are based on non-adjusted quoted prices in active markets for identical financial assets.
- **Level 2:** where fair values are based on adjusted quoted prices and observable prices of similar financial assets.
- **Level 3:** where fair values are not based on observable market data.

- Financial liabilities

- Financial liabilities measured at amortised cost : These include borrowings, current tax and trade and other payables. These are initially measured at fair value and subsequently measured at amortised cost, using the effective interest rate method.

Borrowings are initially recognised at fair value, net of transaction costs incurred and are subsequently stated at amortised cost. Any difference between the proceeds (net of transaction costs) and the redemption value is recognised as interest expense in profit or loss under finance costs.

All financial liabilities are classified as current liabilities unless the company has an unconditional right to defer settlement of the liability for at least 12 months after the reporting date.

Financial liabilities are derecognised when, and only when, the company's obligations are discharged, cancelled or expired.

j) Inventories

Inventories comprise of land and developments held for sale and is stated at the lower of cost and net realisable value. Cost is determined by the first-in-first-out (FIFO) basis and comprises all costs attributable to purchase of the land and direct cost for the development of common amenities and related service costs including finance costs.

k) Cash and cash equivalents

For the purposes of the cash flow statement, cash and cash equivalents comprise cash in hand and deposits held at call with banks.

l) Share capital

Ordinary shares are classified as equity. Mandatorily redeemable preference shares and deposits for such shares are classified as liabilities.

m) Share premium

Share premium represents the amount received by the company over the par value of the ordinary shares issued.

NOTES (CONTINUED)

1. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

n) Dividend

Proposed dividends are disclosed as a separate component of equity until declared.

Dividends are recognised as a liability in the period in which they are approved by the group's shareholders.

o) Taxation

The tax expense for the period comprises current and deferred tax. Tax is recognised in profit or loss, except to the extent that it relates to items recognised in the comprehensive income or in equity.

Current tax

Current tax is provided on the results for the year, adjusted in accordance with tax legislation.

Deferred tax

Deferred tax is provided using the liability method for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes.

Currently enacted tax rates are used to determine deferred tax. Deferred tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which temporary differences can be utilised.

p) Accounting for leases

The group as lessee

Leases of assets where the group assumes substantially all the risks and rewards of ownership, are classified as finance leases.

Assets held under finance leases are initially recognised as assets of the Group at their fair value at the inception of the lease or, if lower, at the present value of the minimum lease payments. The corresponding liability to the lessor is included in the consolidated statement of financial position as a finance lease obligation.

Lease payments are apportioned between finance expenses and reduction of the lease obligation so as to achieve a constant rate of interest on the remaining balance of the liability. Finance expenses are recognised immediately in profit or loss, unless they are directly attributable to qualifying assets, in which case they are capitalised in accordance with the contingent rentals are recognised as expenses in the periods in which they are incurred.

Such property and equipment is depreciated over its useful life.

Leases of assets under which a significant portion of the risks and rewards of ownership are effectively retained by the lessor are classified as operating leases. Payments made under operating leases are charged to profit or loss on a straight line basis over the period of the lease. Lease incentives received are recognised as a liability and reduction of the rental expense on a straight line basis.

q) Retirement benefit obligations

The group and its employees contribute to the National Social Security Fund (NSSF), a statutory defined contribution scheme registered under the NSSF Act. The company's contributions to the defined contribution scheme are charged to profit or loss in the year to which they relate. The company has no further obligation once the contributions have been paid.

NOTES (CONTINUED)

r) Borrowing costs

Borrowing costs that are attributable to acquisition, construction or production of a qualifying asset are capitalised as part of the asset based either on actual cost on specific borrowings or, in the case of general borrowings, based on a weighted average cost.

Capitalisation of borrowing costs ceases when all activities necessary to prepare the asset for its intended use or sale are complete. All other borrowing costs are recognised in profit or loss.

s) Comparatives

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.

NOTES (CONTINUED)

2. Segmental reporting

The group is engaged in the business of development and sale of real estate and related activities. This business is conducted through different subsidiaries representing separate projects of the group. The basis of reporting the performance of the group for resource allocation purposes to the board of directors (which represents the chief operating decision maker for the purposes of segmental reporting) is on a company by company basis.

While certain group companies are involved in post real-estate development activities such as provision of services to occupiers etc, these activities are not material to the group as a whole and therefore not separately disclosable.

In respect of the primary operations of real estate development and sale, all activities of the group are carried out within a single economic area being Kenya and are therefore subject to common economic characteristics. These operations are therefore aggregated together, along with the immaterial related activities discussed in the preceding paragraph such that the group's activities comprises a single operating segment. The financial results for the operations of the group are presented to the board are the same as the measures of operating profit and profit before tax as presented in the statement of profit or loss and other comprehensive income. All the assets and liabilities of the group represent the single overall aggregated segment.

As its geographic operations are confined to a single country, no disclosures by geography are applicable. All revenue, costs, assets and liabilities arise and are held in Kenya.

During the year, there is no single customer which represents more than 10% of the total group turnover (2014: Nil).

3. Revenue

	Group	
	2015 Shs	2014 Shs
Revenue from sale of property	<u>259,773,044</u>	<u>687,300,740</u>

4. Other operating income

Rental income	6,621,061	2,901,957
Interest income	6,553,979	1,477,895
Other income	5,347,832	1,440,426
Gain on disposal of property and equipment	<u>408,125</u>	<u>28,793</u>
	<u>18,930,997</u>	<u>5,849,071</u>

5. Operating (loss)/profit

	Group	
	2015 Shs	2014 Shs
The following items have been charged in arriving at operating (loss)/profit:		
Depreciation on property and equipment (Note 16)	7,505,240	7,129,830
Amortization of intangible assets (Note 18)	2,124,097	1,924,975
Auditors' remuneration		
- current year	3,580,000	3,580,000
- under provision in prior years	758,058	591,596
Directors' emoluments	45,852,500	2,892,857
Staff costs (Note 6)	<u>83,776,047</u>	<u>113,966,424</u>

NOTES (CONTINUED)

6. Staff costs

	Group	
	2015 Shs	2014 Shs
Salaries and wages	78,287,665	107,102,013
Other staff costs	5,300,782	6,668,411
Pension costs:		
- National Social Security Fund	187,600	196,000
	<u>83,776,047</u>	<u>113,966,424</u>

7. Finance costs

Interest expense:		
- bank borrowings	72,001,392	5,003,243
- other borrowings	15,345,230	-
- private placement bond	39,344,792	-
- preference shares	5,787,288	6,615,000
- finance leases	240,723	958,693
	<u>132,719,425</u>	<u>12,576,936</u>

8. Tax

Current tax	3,952,512	6,703,582
Deferred tax (credit)/charge (Note 15)	<u>(24,660,547)</u>	<u>32,115,060</u>
Tax (credit)/charge	<u>(20,708,035)</u>	<u>38,818,642</u>

The tax on the group's (loss)/profit before tax differs from the theoretical amount that would arise using the basic rate as follows:

(Loss)/profit before tax	<u>(410,799,371)</u>	<u>47,774,671</u>
Tax calculated at a tax rate of 30% (2014: 30%)	<u>(123,239,811)</u>	<u>14,332,401</u>
Tax effect of:		
- income and expenses not taxable/allowable	11,532,255	(1,892,216)
- tax losses on which deferred tax has not been recognised	90,609,428	32,398,355
- effect of taxes on intra-group profits	-	5,330,206
- effect of lower tax rate on capital gains	-	(9,367,450)
- under/(over) provision in prior years	390,093	(1,982,654)
Tax (credit)/charge	<u>(20,708,035)</u>	<u>38,818,642</u>

9. (Loss) per share

- Basic

Basic group loss per share is calculated by dividing the loss attributable to equity holders of the company by the weighted average number of ordinary shares in issue during the year.

	Group	
	2015 Shs	2014 Shs
Net (loss) attributable to shareholders of the parent	(367,646,022)	(17,876,737)
Weighted average number of ordinary shares	<u>405,255,320</u>	<u>405,255,320</u>
(Loss) per share - basic and diluted	<u><u>(0.91)</u></u>	<u><u>(0.04)</u></u>

NOTES (CONTINUED)

10. Share capital

	Group and company	
	2015	2014
	Shs	Shs
Authorised:		
500,000,000 (2014: 500,000,000) ordinary shares of shs. 1	<u>500,000,000</u>	<u>500,000,000</u>
Issued and fully paid:		
405,255,320 (2014: 405,255,320) ordinary shares of Shs. 1	<u>405,255,320</u>	<u>405,255,320</u>

11. Share premium

	Group and company	
	2015	2014
	Shs	Shs
At start and end of the year	<u>68,842,038</u>	<u>68,842,038</u>

12. Deposit for shares

	Group	
	2015	2014
	Shs	Shs
Non current		
- Deposits for preference shares pending issue	59,583,332	125,748,748
- Deposits for ordinary shares pending allotment	94,203,550	96,183,550
	<u>153,786,882</u>	<u>221,932,298</u>
Current		
- Deposits for preference shares pending issue	67,671,665	-
	<u>221,458,547</u>	<u>221,932,298</u>

The deposits for preference shares pending issue relate to Home Afrika Communities Limited and Kikwetu Development Limited which are both subsidiaries of the parent company.

- (i) Deposits for preference shares pending issue - Home Afrika Communities Limited
- The members passed an ordinary resolution on 24 June 2013 authorising the issue of 1,000 preference shares of Shs. 600,000 each.
 - The tenure of the preference shares shall be 3 years with the right to receive a cumulative dividend at a rate of 20.5% p.a. to be paid together with capital upon redemption and rank in priority over ordinary shares in repayment.
 - The preference shares are secured by a first legal charge over property unit L.R. No. 29059 PDS W01 (I.R No.133694) measuring 25.31 acres valued at approximately Shs 650,000,000.
- (ii) Deposits for preference shares pending issue - Kikwetu Development Limited
- The company intends to issue 87 preference shares at a subscription price of Shs. 500,000 each.
 - The tenure of the preference shares shall be 3 years with the right to receive cumulative dividend at a rate of 18% per annum.
- (iii) Deposit for ordinary shares pending allotment relates to amounts received with respect to the reservation of shares to minority interest in the subsidiary companies. No shares had been allotted as at the statement of financial position date.

NOTES (CONTINUED)

13. Borrowings

	Group		Company	
	2015 Shs	2014 Shs	2015 Shs	2014 Shs
The borrowings are made up as follows:				
Non-current				
Bank loans	12,060,267	213,353,544	12,060,267	20,218,811
Finance leases	-	1,195,319	-	580,999
	<u>12,060,267</u>	<u>214,548,863</u>	<u>12,060,267</u>	<u>20,799,810</u>
Current				
Bank loans	682,143,760	367,706,033	6,428,580	6,428,580
Finance leases	727,913	2,407,927	434,787	803,738
Bank overdraft (Note 23)	21,982,103	-	-	-
	<u>704,853,776</u>	<u>370,113,960</u>	<u>6,863,367</u>	<u>7,232,318</u>
	<u>716,914,043</u>	<u>584,662,823</u>	<u>18,923,634</u>	<u>28,032,128</u>

The borrowings are secured by the following:

- Joint and several personal guarantees and indemnities of an amount of Shs. 45,000,000 each by the directors of Home Afrika Limited.
- First legal charge/mortgage for an amount of Shs.45,000,000 over property known as Office Suite 2 (Penthouse), 5th floor on L.R. No. 2/704, Ngong Road, Nairobi.
- Joint and several personal guarantees and indemnities of an amount of Shs. 325,000,000 each by the directors of Mitini Scapes development Limited.
- Corporate guarantee and indemnity of Home Afrika Limited for an amount of Shs. 325,000,000.
- A fixed and floating debenture for an amount of Shs. 325,000,000 over all the assets of Mitini Scapes Development Limited.
- First legal charge/mortgage for an amount of Shs. 325,000,000 over the sublease unit PDS S03 on L.R. No. 29059, Nairobi registered in the name of Mitini Scapes Development Limited.
- Corporate guarantee by Home Afrika Limited supported by first legal charge of Shs. 100,000,000 over the unit PDS F01 on L.R. No. 29059.
- Fixed and floating debenture for an amount of Shs. 100,000,000 over all the assets of Lakeview Heights Development Limited
- Legal charge of Shs. 400,000,000 over property known as unit No. M0014 situated on L.R. No. 29059, Kiambu.
- Corporate guarantee and indemnity from Home Afrika Communities Limited, Home Afrika Limited, Tulip Trustee Limited and Linyanti Limited for an amount of Shs. 400,000,000.

	Group		Company	
Weighted average effective interest rates at the reporting date were:	2015 Shs	2014 Shs	2015 Shs	2014 Shs
Bank borrowings	18.9%	18.8%	18.0%	18.0%
Finance lease liabilities	<u>19.5%</u>	<u>21.2%</u>	<u>21.6%</u>	<u>21.6%</u>

In the opinion of the directors, the carrying amounts of borrowings and lease obligations approximate to their fair value.

The carrying amounts of the company's borrowings are denominated in Kenya shillings.

NOTES (CONTINUED)

13. Borrowings (continued)

Maturity based on the repayment structure of non-current borrowings (excluding finance lease liabilities and shareholders loan) is as follows:	Group		Company	
	2015 Shs	2014 Shs	2015 Shs	2014 Shs
Between 1 and 2 years	5,631,687	205,991,893	11,250,015	12,857,160
Between 2 and 5 years	6,428,580	7,361,651	810,252	7,361,650
	<u>12,060,267</u>	<u>213,353,544</u>	<u>12,060,267</u>	<u>20,218,810</u>

Undrawn facilities as at the reporting date were as follows:	Group	
	2015 Shs	2014 Shs
Bank borrowings	<u>117,769,796</u>	<u>206,865,267</u>

Gross finance lease liabilities - minimum lease payments	Group		Company	
	2015 Shs	2014 Shs	2015 Shs	2014 Shs
Not later than 1 year	832,162	3,730,200	534,360	1,068,720
Later than 1 year and not later than 5 years	-	2,021,010	-	1,068,720
Total gross finance leases	832,162	5,751,210	534,360	2,137,440
Future interest expense on finance leases	<u>(104,249)</u>	<u>(2,147,964)</u>	<u>(99,573)</u>	<u>(752,703)</u>
Present value of finance leases	<u>727,913</u>	<u>3,603,246</u>	<u>434,787</u>	<u>1,384,737</u>
Present value of finance leases - minimum lease payments				
Not later than 1 year	727,913	2,407,927	434,787	803,738
Later than 1 year and not later than 5 years	-	1,195,319	-	580,999
	<u>727,913</u>	<u>3,603,246</u>	<u>434,787</u>	<u>1,384,737</u>

14. Private Placement Bond

	Group and company	
	2015 Shs	2014 Shs
Principal amount at par value	500,000,000	301,100,030
Expenses attributable to the issuing of the bond	<u>(17,346,141)</u>	<u>(22,502,684)</u>
	<u>482,653,859</u>	<u>278,597,346</u>

In 2014, the company raised Shs. 500,000,000 through the issue of a 5 year private placement bond. Interest on the corporate bond is at 17% per annum payable semi-annually in arrears

The notes are issued in denominations of Shs. 100,000. The final maturity of the Notes will be 16 December 2019. However, there is early redemption any time after 18 December 2017 by the issuer in whole or in part on any interest payment date on provision of a notice of no more than 90 days or less than 30 days.

The notes are partially secured by first legal charge on land, Unit Number PDS W01 situated on L.R. No 29059, Kiambu included within inventories.

NOTES (CONTINUED)

15. Deferred tax

Deferred tax is calculated, in full, on all temporary differences under the liability method using a principal tax rate of 30% (2014: 30%). The movement on the deferred tax account is as follows:

	Group	
	2015 Shs	2014 Shs
At start of year	149,579,632	117,464,572
(Credit)/charge to profit or loss (Note 8)	(24,660,547)	32,115,060
At end of year	<u>124,919,085</u>	<u>149,579,632</u>

Group

Deferred tax (assets) and liabilities, deferred tax charge/(credit) to other comprehensive income and deferred tax charge/(credit) in profit or loss are attributable to the following items:

	At start of year Shs	Charge/(credit) to profit or loss Shs	At end of year Shs
Deferred tax liabilities			
Fair value gain on investment property	<u>159,836,945</u>	<u>7,430,081</u>	<u>167,267,026</u>
Deferred tax assets			
Property and equipment	(1,515,288)	338,711	(1,176,577)
Tax losses carried forward	<u>(8,742,025)</u>	<u>(32,429,339)</u>	<u>(41,171,364)</u>
	<u>(10,257,313)</u>	<u>(32,090,628)</u>	<u>(42,347,941)</u>
Net deferred tax liability	<u>149,579,632</u>	<u>(24,660,547)</u>	<u>124,919,085</u>

Deferred tax assets on tax losses carried forward are only recognised to the extent of certainty of availability of sufficient future taxable profits to utilise such losses against. Deferred tax assets amounting to Shs. 131,749,803 (2014: Shs. 41,140,374) in respect of tax losses carried forward amounting to Shs. 370,282,020 (2014: Shs. 137,134,580) that can be carried forward against future taxable profits have not been recognised. These tax losses expire as follows:

	Shs	Expiry
- tax losses arising in 2012	16,205,533	31 December 2021
- tax losses arising in 2013	85,589,927	31 December 2022
- tax losses arising in 2014	35,339,120	31 December 2023
- tax losses arising in 2015	302,031,430	31 December 2024

NOTES (CONTINUED)

15. Deferred tax (continued)

	Company	
	2015	2014
	Shs	Shs
At start of year	(124,033)	(49,577)
Charge to profit or loss	<u>(406,532)</u>	<u>(74,456)</u>
At end of year	<u><u>(530,565)</u></u>	<u><u>(124,033)</u></u>
	Charge/(credit)	
	At start	to profit or
	of year	loss
	Shs	Shs
		At end
		of year
		Shs
Deferred tax liabilities		
Fair value gain on investment property	<u>554,654</u>	<u>(554,654)</u>
Deferred tax (assets)		
Property and equipment	(466,722)	383,985
Intangible assets	<u>(211,965)</u>	<u>(235,863)</u>
	<u>(678,687)</u>	<u>148,122</u>
	<u><u>(124,033)</u></u>	<u><u>(530,565)</u></u>

Deferred tax assets amounting to Shs. 51,111,819 (2014: Shs. 17,098,169) in respect of tax losses carried forward amounting to Shs. 170,372,728 (2014: Shs. 56,993,897) that can be carried forward against future taxable profits have not been recognised as there is no certainty of recoverability of such losses. These tax losses expire as follows:

	Shs	Expiry
- tax losses arising in 2014	56,993,897	31 December 2023
- tax losses arising in 2015	113,378,831	31 December 2024

NOTES (CONTINUED)

16. Property and equipment

Group

Year ended 31 December 2015

Cost	Building Shs	Tractor Shs	Motor vehicles Shs	Computer equipment Shs	Furniture and fittings Shs	Office equipment Shs	Total Shs
At start of year	33,138,104	4,457,686	9,240,860	5,113,610	13,150,830	14,936,906	80,037,996
Disposal	-	-	(1,390,000)	-	-	-	(1,390,000)
Additions	-	-	-	-	7,035,771	14,240,574	21,438,345
At end of year	33,138,104	4,457,686	7,850,860	5,275,610	20,186,601	29,177,480	100,086,341
Depreciation							
At start of year	3,954,375	2,716,402	5,198,583	3,273,638	4,923,153	4,475,403	24,541,553
Disposal	-	-	(608,125)	-	-	-	(608,125)
Charge for the year	1,535,639	652,981	810,880	596,902	1,875,296	2,033,542	7,505,240
At end of year	5,490,014	3,369,383	5,401,338	3,870,540	6,798,449	6,508,945	31,438,668
Net book value	27,648,090	1,088,303	2,449,522	1,405,070	13,388,153	22,668,536	68,647,673

Year ended 31 December 2014

Cost	Building Shs	Tractor Shs	Motor vehicles Shs	Computer equipment Shs	Furniture and fittings Shs	Office equipment Shs	Total Shs
At start of year	52,616,104	4,457,686	9,240,860	4,717,250	12,517,380	13,280,966	96,830,246
Transfer to investment property	(19,478,000)	-	-	-	-	-	(19,478,000)
Disposal	-	-	-	(66,200)	-	-	(66,200)
Additions	-	-	-	462,560	633,450	1,655,940	2,751,950
At end of year	33,138,104	4,457,686	9,240,860	5,113,610	13,150,830	14,936,906	80,037,996
Depreciation							
At start of year	4,586,772	1,671,632	3,851,157	2,564,783	3,747,770	2,980,902	19,403,016
Transfer to investment property	(1,947,800)	-	-	-	-	-	(1,947,800)
Disposal	-	-	-	(43,493)	-	-	(43,493)
Charge for the year	1,315,403	1,044,770	1,347,426	752,348	1,175,383	1,494,501	7,129,830
At end of year	3,954,375	2,716,402	5,198,583	3,273,638	4,923,153	4,475,403	24,541,553
Net book value	29,183,729	1,741,284	4,042,277	1,839,972	8,227,678	10,461,504	55,496,443

NOTES (CONTINUED)

16. Property and equipment (continued)

Company

Year ended 31 December 2015

	Building Shs	Motor vehicles Shs	Computer equipment Shs	Furniture and fittings Shs	Office equipment Shs	Total Shs
Cost						
At start of year	56,994,527	4,984,860	3,182,495	10,078,018	4,833,458	80,073,358
Disposal	-	(1,390,000)	-	-	-	(1,390,000)
Additions	-	-	162,000	6,252,495	7,308	6,421,803
At end of year	56,994,527	3,594,860	3,344,495	16,330,513	4,840,766	85,105,161
Depreciation						
At start of year	6,682,594	2,669,528	2,059,809	4,082,938	1,441,461	16,936,329
Disposal	-	(608,125)	-	-	-	(608,125)
Charge for the year	1,535,639	379,145	385,406	1,530,947	424,913	4,256,050
At end of year	8,218,233	2,440,548	2,445,215	5,613,885	1,866,374	20,584,254
Net book value	<u>48,776,294</u>	<u>1,154,312</u>	<u>899,281</u>	<u>10,716,628</u>	<u>2,974,392</u>	<u>64,520,907</u>

Year ended 31 December 2014

	Building Shs	Motor vehicles Shs	Computer equipment Shs	Furniture and fittings Shs	Office equipment Shs	Total Shs
Cost						
At start of year	105,332,467	4,984,860	3,076,395	10,035,136	4,490,308	127,919,166
Transfer to investment property	(48,337,940)	-	-	-	-	(48,337,940)
Disposal	-	-	(66,200)	-	-	(66,200)
Additions	-	-	172,300	42,882	343,150	558,332
At end of year	56,994,527	4,984,860	3,182,495	10,078,018	4,833,458	80,073,358
Depreciation						
At start of year	8,480,302	1,897,751	1,640,790	3,226,498	956,890	16,202,231
Transfer to investment property	(443,1020)	-	-	-	-	(443,1020)
Disposal	-	-	(43,493)	-	-	(43,493)
Charge for the year	2,633,312	771,777	462,512	856,440	484,571	5,208,611
At end of year	6,682,594	2,669,528	2,059,809	4,082,938	1,441,461	16,936,329
Net book value	<u>50,311,933</u>	<u>2,315,332</u>	<u>1,122,687</u>	<u>5,995,080</u>	<u>3,391,997</u>	<u>63,137,029</u>

Buildings amounting to Shs. 48,776,294 have been pledged as security against borrowings as disclosed in Note 13.

All additions made during the year were made through cash payments

Included in property and equipment are the following assets where the company is a lessee under a finance lease.

	Motor Vehicle	
	2015	2014
	Shs	Shs
Cost	3,594,860	3,594,860
Accumulated depreciation	2,440,548	2,078,278
Net book value	<u>1,154,312</u>	<u>1,516,582</u>

The company leases motor vehicles under non-cancellable finance lease agreements. The lease terms are 5 years and the ownership of the assets lies with the company.

NOTES (CONTINUED)

17. Investment property

Group				
Year ended 31 December 2015	Buildings Shs	Land Shs	WIP Shs	Total Shs
At start of year	55,000,000	602,017,848	34,439,133	691,456,981
Additions	-	-	12,528,840	12,528,840
Fair value gains	-	26,615,782	-	26,615,782
At end of year	<u>55,000,000</u>	<u>628,633,630</u>	<u>46,967,973</u>	<u>730,601,603</u>
Year ended 31 December 2014				
At start of year	-	530,458,369	25,461,681	555,920,050
Transfers from property and equipment	17,530,200	-	-	17,530,200
Additions	-	-	8,977,452	8,977,452
Fair value gains	37,469,800	71,559,479	-	109,029,279
At end of year	<u>55,000,000</u>	<u>602,017,848</u>	<u>34,439,133</u>	<u>691,456,981</u>
Company				
Year ended 31 December 2015			Buildings Shs	Total Shs
At start of year			55,000,000	55,000,000
Fair value gain			-	-
At end of year			<u>55,000,000</u>	<u>55,000,000</u>
Year ended 31 December 2014				
Transfers from property and equipment			43,906,920	43,906,920
Fair value gain			11,093,080	11,093,080
At end of year			<u>55,000,000</u>	<u>55,000,000</u>

The fair value of investment property was determined by reference to the market prices of similar properties of the type and in the area in which the property is situated. The valuation was carried out by Acumen Valuers Limited an independent professional valuer with recent experience in the location and category of the investment property being valued.

The fair value of the group's investment properties are determined annually at the reporting date by an independent professionally qualified valuer adjusted by management to reflect the current stage of completion of the project. In determining the valuations the valuer refers to current market conditions including recent sales transactions of similar properties. In estimating the fair value of the properties, the highest and best use of the property is their use at the end of the project development adjusted by the completion factor to reflect the condition as of the balance sheet date. There has been no change in the valuation technique used during the year. Other than the fair value gains, there are no amounts included in profit or loss relating to the investment property.

Fair value hierarchy	Level 1 Shs	Level 2 Shs	Level 3 Shs	Fair value Shs
Group:				
Land and building held as investment property	<u>-</u>	<u>-</u>	<u>730,601,603</u>	<u>730,601,603</u>
Company:				
Building held as investment property	<u>-</u>	<u>-</u>	<u>55,000,000</u>	<u>55,000,000</u>

There were no transfers between Levels 1, 2 and 3 during the year

NOTES (CONTINUED)

17. Investment property (continued)

Level 3 valuation

The fair valuation of the investment property is included as a level 3 valuation based on a significant non-observable input being the stage of completion of the project development within which the investment property resides which therefore has a material impact on the fair valuation as of the date of the statement of financial position. The % stage of completion used for this valuation is 40.66% as at 31 December 2015 (38.02% as at 31 December 2014). Management does not expect there to be a material sensitivity to the value of the investment property as the percentage of completion is based on qualified professional assessments of the project development.

The table above presents the changes in the carrying value of the investment property arising from these fair valuation assessments.

18. Intangible assets

Group	Computer Software Shs	Website costs Shs	Total Shs
Year ended 31 December 2015			
Cost			
At start of year	5,300,457	1,183,800	6,484,257
Additions	596,123	-	596,123
At end of year	5,896,580	1,183,800	7,080,380
Accumulated amortisation			
At start of year	1,766,642	1,025,230	2,791,872
Amortisation for the year	1,965,527	158,570	2,124,097
At end of year	3,732,169	1,183,800	4,915,969
Carrying amount	<u>2,164,411</u>	<u>-</u>	<u>2,164,411</u>
Year ended 31 December 2014			
Cost			
At start of year	4,140,460	1,183,800	5,324,260
Additions	1,159,997	-	1,159,997
At end of year	5,300,457	1,183,800	6,484,257
Accumulated amortisation			
At start of year	-	866,897	866,897
Amortisation for the year	1,766,642	158,333	1,924,975
At end of year	1,766,642	1,025,230	2,791,872
Carrying amount	<u>3,533,815</u>	<u>158,570</u>	<u>3,692,385</u>
Company		Computer Software 2015 Shs	Computer Software 2014 Shs
Cost			
At start of year		5,300,457	4,140,460
Additions		596,123	1,159,997
At end of year		5,896,580	5,300,457
Amortisation			
At start of year		1,766,642	-
Amortisation for the year		1,965,527	1,766,642
At end of year		3,732,169	1,766,642
Net book value		<u>2,164,411</u>	<u>3,533,815</u>

NOTES (CONTINUED)

19. Investments in subsidiaries

Company Name	Country of incorporation	Holding		Company	
		2015	2014	2015	2014
				Shs	Shs
Suburban Limited	Kenya	50%	50%	74,334,247	74,334,247
Mitini Scapes Development Limited	Kenya	100%	100%	100,000	100,000
Lakeview Heights Development Limited	Kenya	100%	100%	100,000	100,000
Lango Development Limited	Kenya	100%	100%	100,000	100,000
Kikwetu Limited	Kenya	100%	100%	100,000	100,000
Smart Plots Limited	Kenya	100%	100%	100,000	100,000
Home Afrika Communities Limited	Kenya	60%	60%	2,100,000	2,100,000
Migaa Management Limited	Kenya	52%	52%	52,000	52,000
				<u>76,986,247</u>	<u>76,986,247</u>

The composition of the group is as follows:

Name	Country of incorporation	Proportion of ownership interest		Proportion owned via subsidiary companies		Principal Activities	Wholly or non- wholly owned subsidiary
		2015	2014	2015	2014		
Mitini Scapes Development Limited	Kenya	100%	100%	-	-	Development and sale of real estate	Wholly
Lakeview Heights Development Limited	Kenya	100%	100%	-	-	Development and sale of real estate	Wholly
Lango Development Limited	Kenya	100%	100%	-	-	Development and sale of real estate	Wholly
Kikwetu Limited	Kenya	100%	100%	-	-	Development and sale of real estate	Wholly
Smart Plots Limited	Kenya	100%	100%	-	-	Development and sale of real estate	Wholly
Home Afrika Communities Limited	Kenya	60%	60%	-	-	Development and sale of real estate	Non-wholly
Suburban Limited	Kenya	50%	50%	-	-	Development and sale of real estate	Non-wholly
Migaa Management Limited	Kenya	52%	52%	-	-	Development and sale of real estate	Non-wholly
Moru Ridge Limited	Kenya	-	-	60%	60%	Development and sale of real estate	Non-wholly
Kivuli Golf Limited	Kenya	-	-	60%	60%	Development and sale of real estate	Non-wholly
Migaa PDS Limited	Kenya	-	-	60%	60%	Development and sale of real estate	Non-wholly

NOTES (CONTINUED)

19. Investments in subsidiaries (continued)

The group owns 50% equity shares of Suburban Limited. The remaining 50% is held by unrelated shareholders. An assessment of control was performed by the group based on whether the group has the practical ability to direct the relevant activities unilaterally and it was concluded that the group was involved in active day to day management and therefore had a dominant power to direct the relevant activities of Suburban Limited.

Summarised financial information

Summarised financial information in respect of each of the group's subsidiaries that has a material non-controlling interests is set out below. The summarised financial information below represents amounts before intragroup eliminations based on unaudited management accounts of the subsidiaries.

	Home Afrika Communities Limited		Suburban Limited		Moru Ridge Limited	
	2015 Shs	2014 Shs	2015 Shs	2014 Shs	2015 Shs	2014 Shs
Current assets	1,396,568,992	1,400,185,484	90,082,354	102,111,491	932,771,140	713,517,147
Non-current assets	693,225,166	642,110,343	969,833	1,160,786	40,180	69,700
Current liabilities	1,362,636,901	(1,439,145,838)	(138,431,892)	(146,710,216)	(1,045,735,248)	(565,328,737)
Non-current liabilities	(453,822,947)	(249,398,712)	-	-	-	(193,134,733)
Equity attributable to owners of the company	161,840,585	229,824,395	(28,487,823)	(21,768,969)	(67,814,357)	(31,287,097)
Non-controlling interests	107,933,723	120,426,892	(18,991,882)	(21,768,970)	(45,209,571)	(13,689,526)

Home Afrika Limited
Annual report and consolidated financial statements
For the year ended 31 December 2015

NOTES (CONTINUED)

19. Investments in subsidiaries (continued)

Summarised financial information (continued)

	Home Afrika Communities Limited		Suburban Limited		Moru Ridge Limited	
	2015 Shs	2014 Shs	2015 Shs	2014 Shs	2015 Shs	2014 Shs
Revenue	263,191,910	488,720,380	3,328,800	77,217,200	-	-
Expenses	(343,423,464)	(409,551,854)	(7,270,566)	(87,303,540)	(68,035,004)	(17,093,726)
(Loss)/profit for the year	(80,231,554)	79,168,526	(3,941,766)	(10,086,340)	(68,035,004)	(17,093,726)
(Loss)/profit attributable to owners of the company	(48,138,933)	47,501,116	(1,970,883)	(5,043,170)	(40,821,003)	(10,256,236)
(Loss)/profit attributable to the non-controlling interests	(32,092,622)	31,667,410	(1,970,883)	(5,043,170)	(27,214,002)	(6,837,490)
Net cash (out)/in flow from operating activities	(242,244,542)	52,998,206	(1,149,086)	(6,933,061)	(175,670,408)	(187,304,357)
Net cash (out) flow from investing activities	(26,720,616)	(9,496,202)	-	-	-	(82,000)
Net cash in/(out) flow from financing activities	269,224,868	(40,419,858)	-	-	173,077,489	193,134,733
Net cash in/(out) flow	259,710	3,082,146	(1,149,086)	(6,933,061)	(2,592,919)	5,748,376
Significant restrictions						

There are no significant restrictions on the company's or subsidiary's ability to access or use the assets and settle the liabilities of the group.

NOTES (CONTINUED)

20. Financial assets

Available-for-sale	Incorporation		Group and company	
			2015 Shs	2014 Shs
Morningside Office Park Limited	Kenya	12%	2,000	2,000

The carrying amount of the investment above is not expected to be materially different from its fair value.

21. Inventories

	Group		Company	
	2015 Shs	2014 Shs	2015 Shs	2014 Shs
Plots held for sale	258,475,310	256,800,765	133,000,000	136,000,000
Units held for sale	14,646,558	14,646,558	-	-
Work in progress	2,637,163,707	2,210,209,680	-	-
	<u>2,910,285,575</u>	<u>2,481,657,003</u>	<u>133,000,000</u>	<u>136,000,000</u>

Inventory with a cost amounting to Shs. 106,878,163 have been pledged as security against preference shares with a gross face value of Shs. 600,000,000 as disclosed in Note 10.

Inventory with a cost amounting to Shs. 36,405,588 have been pledged as security against private placement bond of Shs. 500,000,000 as disclosed in Note 14.

22. Trade and other receivables	Group		Company	
	2015 Shs	2014 Shs	2015 Shs	2014 Shs
Non current				
Receivables from related parties (Note 27(iii))	-	-	542,400,000	267,900,000
Current				
Trade receivables	27,011,221	71,250,000	611,221	5,250,000
Less: impairment provision	(25,000,000)	-	-	-
Net trade receivables	2,011,221	71,250,000	611,221	5,250,000
Other receivables	24,317,440	15,934,545	873,208	873,208
Deposits and prepayments	111,785,260	50,540,181	1,437,454	775,208
Less: impairment provision	(78,884,000)	-	-	-
Shareholders account	500,000	600,000	-	-
Due from directors	-	5,735,500	-	-
Receivables from related parties (Note 27(iii))	30,146,853	33,403,073	223,587,410	137,474,800
Less: impairment provision	(5,735,500)	-	-	-
	<u>84,141,274</u>	<u>177,463,299</u>	<u>226,509,293</u>	<u>144,373,208</u>
	<u>84,141,274</u>	<u>177,463,299</u>	<u>768,909,293</u>	<u>412,273,208</u>

In the opinion of the directors, the carrying amounts of trade and other receivables approximate to their fair value.

The group's credit risk arises primarily from trade receivables. 93% of the outstanding trade receivables are held by a single customer. This represents a significant concentration of credit risk. The directors have made a provision for the portion of the receivable whose recovery is in doubt.

The carrying amounts of the group's/company's trade and other receivables are denominated in Kenya shillings.

Trade receivables that are aged past 90 days are considered past due.

Individually impaired receivables mainly relate to customers, who are in unexpectedly difficult economic situations.

The other classes within trade and other receivables do not contain impaired assets.

NOTES (CONTINUED)

23. Cash and cash equivalents	Group		Company	
	2015 Shs	2014 Shs	2015 Shs	2014 Shs
Cash at bank and in hand	41,473,170	308,867,974	30,143,710	298,112,829
Short term bank deposits	25,000,000	-	-	-
	<u>66,473,170</u>	<u>308,867,974</u>	<u>30,143,710</u>	<u>298,112,829</u>

For the purpose of the statement cash flow, the year end cash and cash equivalents comprise the following:

	Group		Company	
	2015 Shs	2014 Shs	2015 Shs	2014 Shs
Cash and bank balances	66,473,170	308,867,974	30,143,710	298,112,829
Bank overdraft (Note 13)	(21,982,103)	-	-	-
	<u>44,491,067</u>	<u>308,867,974</u>	<u>30,143,710</u>	<u>298,112,829</u>

The company's cash and bank balances are held with major Kenyan financial institutions and, insofar as the directors are able to measure any credit risk to these assets, it is deemed to be limited.

The carrying amounts of the group's/company's cash and cash equivalents are denominated in Kenya shillings.

24. Deferred income

	Group	
	2015 Shs	2014 Shs
Deferred income	<u>871,659,513</u>	<u>711,474,619</u>

Deferred income represents unrecognised revenue on account of ongoing construction.

25. Payables

	Group		Company	
	2015 Shs	2014 Shs	2015 Shs	2014 Shs
Trade and other payables				
Trade payables	269,618,646	197,783,459	12,620,479	36,405,335
Accruals	158,419,155	93,051,322	30,252,775	14,061,697
Deposit for service charge and shares	16,216,248	29,880,250	-	-
Other payables	34,254,131	29,428,619	29,583,288	28,782,235
Payable to related parties (Note 27(iii))	118,255,232	83,343,379	271,292,386	257,811,196
	<u>596,763,412</u>	<u>433,487,029</u>	<u>343,748,928</u>	<u>337,060,463</u>
Deposits from sale of plots	<u>883,597,915</u>	<u>985,819,956</u>	<u>7,494,940</u>	<u>6,730,000</u>
Total trade and other payables	<u>1,480,361,327</u>	<u>1,419,306,985</u>	<u>351,243,868</u>	<u>343,790,463</u>

In the opinion of the directors, the carrying amounts of trade and other payables approximate to their fair value.

The carrying amounts of the group's/company's trade and other payables are denominated in Kenya shillings.

The maturity analysis of the group's trade and other payables is as follows:

NOTES (CONTINUED)

25. Trade and other payables (continued)

Year ended 31 December 2015

	0 to 1 month Shs	2 to 3 months Shs	4 to 12 months Shs	Total Shs
Trade payables	14,236,453	115,743,818	139,638,375	269,618,646
Accruals	40,663,320	50,225,022	67,530,813	158,419,155
Deposit from sale of plots	21,150,000	76,003,663	786,444,252	883,597,915
Deposit for service charge and shares	-	2,300,400	13,915,848	16,216,248
Other payables	-	5,766,784	28,487,347	34,254,131
Payable to related parties (Note 27(iii))	13,499,098	-	104,756,134	118,255,232
	<u>89,548,871</u>	<u>250,039,687</u>	<u>1,140,772,769</u>	<u>1,480,361,327</u>

Year ended 31 December 2014

Trade payables	50,431,507	13,778,949	133,573,003	197,783,459
Accruals	57,649,935	-	35,401,387	93,051,322
Deposit from sale of plots	-	-	985,819,956	985,819,956
Deposit for service charge and shares	-	-	29,880,250	29,880,250
Other payables	-	29,428,619	-	29,428,619
Payable to related parties (Note 27(iii))	-	-	83,343,379	83,343,379
	<u>108,081,442</u>	<u>43,207,568</u>	<u>1,268,017,975</u>	<u>1,419,306,985</u>

The maturity analysis of the company's trade and other payables is as follows:

Year ended 31 December 2015

	0 to 1 month Shs	2 to 3 months Shs	4 to 12 months Shs	Total Shs
Trade payables	7,289,579	4,534,610	796,290	12,620,479
Accruals	3,675,000	9,461,479	17,116,296	30,252,775
Deposit from sale of plots	1,000,000	6,494,940	-	7,494,940
Other payables	-	2,624,650	26,958,638	29,583,288
Payable to related parties (Note 27(iii))	2,436,598	-	268,855,788	271,292,386
	<u>14,401,177</u>	<u>23,115,679</u>	<u>313,727,012</u>	<u>351,243,868</u>

Year ended 31 December 2014

Trade payables	22,626,386	13,778,949	-	36,405,335
Accruals	14,061,697	-	-	14,061,697
Deposit from sale of plots	-	-	6,730,000	6,730,000
Other payables	-	10,242,490	18,539,745	28,782,235
Payable to related parties (Note 27(iii))	-	-	257,811,196	257,811,196
	<u>36,688,083</u>	<u>24,021,439</u>	<u>283,080,941</u>	<u>343,790,463</u>

NOTES (CONTINUED)

26. Cash (used in) operations

	Group	
	2015 Shs	2014 Shs
Reconciliation of (loss)/profit before tax to cash (used in) operations:		
(Loss)/profit before tax	(410,799,371)	47,774,671
Adjustments for:		
Depreciation on property and equipment (Note 16)	7,505,240	7,129,830
Amortization intangible assets (Note 18)	2,124,097	1,924,975
Fair value (gain) on investment property (Note 17)	(26,615,782)	(109,029,279)
Interest expense (Note 7)	132,719,425	12,576,936
Gain on disposal of property and equipment	(408,125)	(28,793)
Interest income (Note 4)	(6,553,979)	(1,477,895)
Changes in working capital:		
- inventories	(428,628,572)	(288,864,899)
- trade and other receivables	93,322,025	32,993,832
- trade and other payables	61,054,342	(347,171,899)
- deferred income	160,184,894	398,221,435
Cash (used in) operations	<u>(416,095,806)</u>	<u>(245,951,086)</u>

27. Related party transactions and balances

The following transactions were carried out with related parties:

i) Sale of goods and services

Project management fees charged to subsidiary companies

Company	
2015 Shs	2014 Shs
-	44,000,000

Sale of plots and office suites to other related parties e.g directors and shareholders and companies related by virtue of common directors and shareholders

Group	
2015 Shs	2014 Shs
-	226,500,000

ii) Key management personnel compensation

	Group		Company	
	2015 Shs	2014 Shs	2015 Shs	2014 Shs
Short term employee benefits	<u>86,672,508</u>	<u>51,654,303</u>	<u>49,880,158</u>	<u>39,429,903</u>

iii) Outstanding balances arising from payments to/received from related parties

	Group		Company	
	2015 Shs	2014 Shs	2015 Shs	2014 Shs
Receivable from related parties (Note 22)	<u>30,146,853</u>	<u>33,403,073</u>	<u>765,987,410</u>	<u>405,374,833</u>
Receivables from related parties can be analysed as follows:				
- Subsidiaries	-	-	763,936,106	403,730,528
- Other related parties - minority interests	<u>30,146,853</u>	<u>33,403,073</u>	<u>2,051,304</u>	<u>1,644,305</u>
	<u>30,146,853</u>	<u>33,403,073</u>	<u>765,987,410</u>	<u>405,374,833</u>

The amounts receivable from related parties are interest free, have no specific dates of repayment and are unsecured.

NOTES (CONTINUED)

27. Related party transactions and balances (continued)

iii) Outstanding balances arising from payments to/received from related parties

	Group		Company	
	2015	2014	2015	2014
	Shs	Shs	Shs	Shs
Payable to related parties (Note 25)	<u>118,255,232</u>	<u>83,343,379</u>	<u>271,292,386</u>	<u>257,811,196</u>
Payables from related parties can be analysed as follows:				
- Subsidiaries	-	-	246,909,197	252,516,096
- Other related parties e.g. Directors, shareholders	<u>118,255,232</u>	<u>83,343,379</u>	<u>24,383,189</u>	<u>5,295,100</u>
	<u>118,255,232</u>	<u>83,343,379</u>	<u>271,292,386</u>	<u>257,811,196</u>

The amounts payable to related parties are interest free, have no specific dates of repayment and are unsecured.

28. Risk management objectives and policies

Financial risk management

The group's activities expose it to a variety of financial risks: market risk (including interest rate risk), credit risk and liquidity risk.

Risk management is carried out by the management under policies approved by the board of directors. Management identifies and evaluates financial risks in close co-operation with various departmental heads. The board provides written principles for overall risk management, as well as written policies covering specific areas, such as interest rate risk and credit risk.

(a) Market risk

- Interest rate risk

The group's exposure to interest rate risk arises from non-current borrowings/current borrowings. Financial assets and liabilities obtained at different rates expose the company to interest rate risk.

At 31 December 2015, if interest rates at that date had been 1 percentage point lower with all other variables held constant, post-tax loss for the year would have been Shs. 3,895,748 (2014: 213,750) lower, arising mainly as a result of lower interest expense on variable rate borrowings. The effect would be the opposite were interest rates to be 1% higher. 1% represents the maximum expected change in rates.

(b) Credit risk

Credit risk arises from cash and cash equivalents and deposits with banks and financial institutions as well as credit exposures to customers, including outstanding receivables.

Management assesses the credit quality of the customer, taking into account their financial position, past experience and other factors.

Individual limits are set based on internal or external information in accordance with limits set by the management. The utilisation of credit limits is regularly monitored.

No credit limits were exceeded during the reporting year, and management does not expect any losses from non-performance by these counterparties.

None of the financial assets that are fully performing have been renegotiated in the last year.

Exposure to this risk has been quantified in each financial asset note in the financial statements along with any concentration of risk.

NOTES (CONTINUED)

28. Related party transactions and balances (continued)

(c) Liquidity risk

Cash flow forecasting is performed by the finance department of the group by monitoring the company's liquidity requirements to ensure it has sufficient cash to meet operational needs while maintaining sufficient headroom on its undrawn committed borrowing facilities at all times so that the group does not breach borrowing limits or covenants on any of its borrowing facilities.

Prudent liquidity risk management implies maintaining sufficient cash, the availability of funding through an adequate amount of committed credit facilities and the ability to close out market positions. Due to the dynamic nature of the underlying businesses, the company's management maintains flexibility in funding by maintaining availability under committed credit lines.

Notes 13 and 25 disclose the maturity analysis of borrowings and trade and other payables respectively.

The following table details the group's remaining contractual maturity for its non-derivative financial liabilities with agreed repayment periods. The tables have been drawn up based on undiscounted cash flows of financial liabilities based on the earliest date on which the group can be required to pay.

Year ended 31 December 2015

	Interest rate %	Less than 1 year Shs	1 - 5 years Shs	More than 5 years Shs	Total Shs
Interest bearing liabilities					
- Bank loans	18.9%	811,068,931	14,339,657	-	825,408,588
- Private placement bond	17.0%	85,000,000	500,000,000	-	585,000,000
- Finance leases	19.5%	869,856	-	-	869,856
- Bank overdrafts		21,982,103	-	-	21,982,103
Non-interest bearing liabilities					
- Deposit for shares	-	67,671,665	153,786,882	-	221,458,547
- Trade and other payables	-	1,480,361,327	-	-	1,480,361,327
		<u>2,466,953,882</u>	<u>668,126,539</u>	<u>-</u>	<u>3,135,080,421</u>

Year ended 31 December 2014

Interest bearing liabilities					
- Bank loans	18.8%	437,128,932	253,464,010	-	690,592,942
- Private placement bond	17.0%	51,187,005	301,100,030	-	352,287,035
- Finance leases	22.5%	3,730,200	2,021,010	-	5,751,210
Non-interest bearing liabilities					
- Deposit for shares	-	-	221,932,298	-	221,932,298
- Trade and other payables	-	1,419,306,985	-	-	1,419,306,985
		<u>1,911,353,122</u>	<u>778,517,348</u>	<u>-</u>	<u>2,689,870,470</u>

Company

Year ended 31 December 2015

	Interest rate %	Less than 1 year Shs	1 - 5 years Shs	More than 5 years Shs	Total Shs
Interest bearing liabilities					
- Bank loans	18.0%	7,585,724	14,231,115	-	21,816,839
- Private placement bond	17.0%	85,000,000	500,000,000	-	585,000,000
- Finance leases	21.6%	528,701	-	-	528,701
Non-interest bearing liabilities					
- Trade and other payables	-	351,243,868	-	-	351,243,868
		<u>444,358,293</u>	<u>514,231,115</u>	<u>-</u>	<u>958,589,408</u>

NOTES (CONTINUED)

28. Related party transactions and balances (continued)

(c) Liquidity risk (continued)

Year ended 31 December 2014

	Interest rate %	Less than 1 year Shs	1 - 5 years Shs	More than 5 years Shs	Total Shs
Interest bearing liabilities					
- Bank loans	18.0%	7,585,724	23,858,197	-	31,443,921
- Private placement bond	17.0%	51,187,005	301,100,030	-	352,287,035
- Finance leases	21.6%	1,068,720	1,068,720	-	2,137,440
Non-interest bearing liabilities					
- Trade and other payables	-	343,790,463	-	-	343,790,463
		<u>403,631,912</u>	<u>326,026,947</u>	<u>-</u>	<u>729,658,859</u>

29. Capital management

Internally imposed capital requirements

- to provide an adequate return to shareholders by pricing products and services commensurate with the level of risk;
- to comply with the capital requirements set out by the group's bankers;
- to safeguard the entity's ability to continue as a going concern, so that it can continue to provide returns for shareholders and benefits for other stakeholders; and
- to maintain a strong asset base to support the development of business.
- to maintain an optimal capital structure to reduce the cost of capital.

The group sets the amount of capital in proportion to risk. The company manages the capital structure and makes adjustments to it in the light of changes in economic conditions and the risk characteristics of the underlying assets. In order to maintain or adjust the capital structure, the company may adjust the amount of dividends paid to shareholders, return capital to shareholders, issue new shares, or sell assets to reduce debt. Consistently with others in the industry, the company monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided capital. Net debt is calculated as total debt (as shown in the statement of financial position) less cash and cash equivalents. Capital comprises all components of equity (i.e. share capital, share premium and other reserves retained earnings).

30. Contingent liabilities

The group is in receipt of certain claims for damages and other remuneration from former employees. Amounts payable based on agreement entered into with the former employees as of the date of approval of these financial statements have been provided for where material. Disputed amounts have not been provided for as the company does not believe that these are payable based on legal and other advice received. It is not possible to predict with certainty any further amounts that may be payable following completion of the ongoing discussions in this regard.

Home Afrika Communities Limited (a subsidiary) received preliminary claims from the Kenya Revenue Authority. The company has disputed the assessment and lodged a formal objection through their tax consultant. There has been no further development in this regard. No provision for this has been recognised in these financial statements based on defences available against such claims. It is not possible to determine with certainty the amounts that may be payable.

31. Incorporation

Home Afrika Limited is incorporated in Kenya under the Companies Act as a public limited liability company and is domiciled in Kenya.

32. Presentation currency

The financial statements are presented in Kenya Shillings (Shs).

COMPANY STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

	2015 Shs	2014 Shs
Revenue	21,000,000	65,322,413
Cost of sales	<u>(3,000,000)</u>	<u>(4,500,000)</u>
Gross profit	18,000,000	60,822,413
Other operating income	7,565,011	11,981,873
Selling and distribution	(3,644,036)	(8,161,814)
Administrative expenses	(87,575,936)	(105,598,454)
Other operating expenses	<u>(11,556,200)</u>	<u>(12,638,403)</u>
Operating (loss)	(77,211,161)	(53,594,385)
Finance costs	<u>(39,508,900)</u>	<u>(5,311,419)</u>
(Loss) before tax	(116,720,061)	(58,905,804)
Tax (charge)/credit	<u>(840,534)</u>	<u>74,456</u>
(Loss) for the year	<u>(117,560,595)</u>	<u>(58,831,348)</u>
Total comprehensive (loss) for the year	<u>(117,560,595)</u>	<u>(58,831,348)</u>
(Loss) per share		
- Basic	<u>(0.29)</u>	<u>(0.15)</u>

SCHEDULE OF EXPENDITURE

1. SELLING AND DISTRIBUTION EXPENSES

	Group		Company	
	2015	2014	2015	2014
	Shs	Shs	Shs	Shs
Marketing fees	14,682,573	30,851,022	3,180,376	6,077,174
Commissions	7,073,376	6,629,800	210,000	410,000
Advertising and sales promotion	8,806,090	16,502,179	253,660	1,674,640
Total selling and distribution expenses	30,562,039	53,983,001	3,644,036	8,161,814

2. ADMINISTRATIVE EXPENSES

Employment:

Salaries and wages	78,475,265	107,298,013	41,956,789	57,495,966
Medical	3,541,108	4,137,796	1,509,674	2,493,415
Staff training and welfare	1,759,674	2,530,615	287,600	1,089,669
Total employment costs	83,776,047	113,966,424	43,754,063	61,079,050

Other administrative expenses:

Directors and committee allowances	45,852,500	2,892,857	19,560,000	428,571
Provision for doubtful debts	109,619,500	-	-	-
Meetings expenses	902,936	5,410,250	902,936	4,927,672
Legal and professional fees	34,377,625	70,752,520	16,823,684	28,528,734
Vehicle running	923,009	1,232,983	451,872	705,541
Office expenses	2,835,679	2,396,292	737,891	1,420,230
Postages and telephones	1,804,308	2,230,566	1,742,978	2,111,418
Audit fees				
- current year	3,580,000	3,580,000	600,000	600,000
- under provision in prior years	758,058	591,596	344,580	305,014
Travelling and accommodation	1,977,187	6,447,750	348,954	3,256,123
Donations	421,530	592,562		342,562
Computer expenses	1,024,456	1,224,423	433,565	566,008
Printing and stationery	1,995,060	995,490	1,520,333	913,656
Bank charges and commissions	671,741	511,610	112,320	125,918
Secretarial fees	242,760	287,957	242,760	287,957

Total other administrative expenses	206,986,349	99,146,856	43,821,873	44,519,404
--	--------------------	-------------------	-------------------	-------------------

Total administrative expenses	290,762,396	213,113,280	87,575,936	105,598,454
--------------------------------------	--------------------	--------------------	-------------------	--------------------

3. OTHER OPERATING EXPENSES

Establishment:

Depreciation on property and equipment	7,505,240	7,129,830	4,256,050	5,208,611
Repairs and maintenance	613,042	849,930	277,042	256,576
Service charge	2,384,171	2,371,105	2,384,171	2,371,104
Insurance	2,280,284	3,385,277	1,775,170	2,309,452
Security	9,957,554	8,175,533	-	-
Amortization intangible asset	2,124,097	1,924,975	1,965,527	1,766,642
Electricity	2,289,996	1,639,507	532,040	560,043
Rent	896,231	1,673,252	-	-
Licence and subscriptions	531,300	554,916	366,200	165,975

Total other operating expenses	28,581,915	27,704,325	11,556,200	12,638,403
---------------------------------------	-------------------	-------------------	-------------------	-------------------